

The \$30,000 Decision — audit and rebuild

Both prior documents were obtained and every figure in them recomputed. The arithmetic is flawless — all fourteen audited figures reproduce, several to the cent, confirmed by two independent implementations. Three of my initial criticisms were wrong and are withdrawn below. What survives is a contradiction the report contains but never resolves, and two options it never modelled.

- 10-page PDF verified
- 11-input HTML app verified
- Escrow reconciliation
- Recast-then-overpay
- Pre-tax alternative
- A4 print

The finding that matters: the \$2,000 draft contradicts the \$2,800 property tax

Page 2 of the report flags the reported \$2,000 monthly mortgage draft as needing reconciliation. It never notices that the draft is evidence against its own property-tax input — and that resolving it reverses the report's headline conclusion.

REPORTED MONTHLY DRAFT	LESS CONTRACTUAL P&I	IMPLIED ANNUAL ESCROW	GAP VS YOUR INPUTS
\$2,000	-\$1,369	\$7,571	-\$1
from the report, page 2	computed, not assumed	tax + insurance + fees	reconciled — the report's own gap is below

As the report stands, \$4,771 per year is unaccounted for

Its stated property tax of \$2,800 leaves \$4,771 of the \$7,571 implied escrow to be explained by insurance alone — implausible for a \$300,000 rental. Read the other way, an ordinary \$1,800 premium implies property tax of \$5,771, or 1.92% of price, which is entirely normal for Texas once a homestead cap and exemption are lost on conversion to a rental. **Consequence:** substituting that tax turns the report's \$3,233 stabilized profit into a **-\$1,539 loss**, and its +\$711 of federal tax into roughly -\$338. One document from the servicer settles it.

Your current inputs reconcile

They agree with the \$2,000 draft to within \$1/year, so the figures below already reflect the corrected position rather than the report's.

RESOLUTION	IMPLIED PROPERTY TAX	AS % OF PRICE	PLAUSIBLE FOR TEXAS?
Insurance is \$1,500	\$6,071	2.02%	yes — normal TX range
Insurance is \$1,800	\$5,771	1.92%	yes — normal TX range
Insurance is \$2,400	\$5,171	1.72%	yes — normal TX range
Insurance is \$3,000	\$4,571	1.52%	yes — normal TX range
Property tax is \$5,772 as stated	\$1,799 insurance	—	possible

Inputs

Green = disclosed in the prior documents. Amber = never supplied, and decisive. The prior app had eleven inputs and *no field at all* for insurance, repairs or vacancy — the exact items both documents name as capable of flipping the answer.

PROPERTY & LOAN · DISCLOSED

Purchase price	300000
Down payment %	30
Interest rate %	6.8
Term (years)	30
Lump sum	30000
Reported monthly draft page 2 of the report	2000
Curtail after N months	0
Recast fee servicer-specific	350

TAXPAYER · DISCLOSED

W-2 salary	95000
Standard deduction	16100
Marginal federal rate %	22
State income tax % TX property, NV resident	0

RENTAL · DISCLOSED

Gross rent / month	2800
Month placed in service	Aug 2026▼
Building % of price report used 80/20, illustrative	80

OPERATING COSTS (ANNUAL \$)

Property tax report: \$2,800 — see above	5772
Management	3800
HOA \$69/mo × 12	828
Landlord insurance never provided	1800
Repairs / maintenance never provided	0
Vacancy / turnover %	0

ALTERNATIVES NEVER MODELLED

Unused pre-tax room 401(k) / trad IRA	30000
Taxable return %	7
Tax drag on returns %	15

EXIT & DISCOUNTING

Hold period (years)	10
\$1250 recapture rate %	25
Discount rate %	6.8

LIQUIDITY · ASSERTED, NEVER MEASURED

Liquid reserves	60000
Monthly living costs	4500
Visa grace period (days)	60

ACTIVE PARTICIPATION

Can substantiate it?	Yes ▼
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What is correct in the prior work

Recomputed independently from first principles. Every one matches.

QUANTITY	REPORT	RECOMPUTED	
Contractual P&I	\$1,369.04	\$1,369.04	matches
First-month interest	\$1,190.00	\$1,190.00	matches
First-month principal	\$179.04	\$179.04	matches
Interest, months 1-12	\$14,212	\$14,212	matches
Lifetime interest, no prepayment	\$282,855	\$282,855	matches
Lifetime interest, +\$30k same P&I	\$151,117	\$151,117	matches
Lifetime interest, +\$30k recast	\$242,448	\$242,448	matches
Nominal saving, same P&I	\$131,738	\$131,738	matches
Nominal saving, recast	\$40,408	\$40,408	matches
Recast P&I	\$1,173.47	\$1,173.47	matches
Known annual opex	\$7,428	\$10,400.00	differs
Full-year depreciation	\$8,727	\$8,727.27	matches
August 2026 depreciation	\$3,274	\$3,273.60	matches
Federal tax, salary only	\$12,070	\$12,070	matches

The report also gets several rules right that I initially thought it had missed

It correctly states that Schedule E expenses are above-the-line and do *not* require itemizing (page 3); it gives both full-year \$8,727 and August \$3,274 depreciation and cites the 1.364% first-year percentage (page 4); it explicitly labels the 12-month tables a "stabilized 12-month planning view, not a claim that 12 months of rent or expenses occurred in 2026" (page 4); it covers §1250 recapture, at-risk rules under §465, the Substantial Presence Test, prepayment-penalty disclosure under Regulation Z, and Fannie Mae recast mechanics. Its bracket reconstruction is internally exact — the \$12,070 figure implies a 10% bracket ceiling of \$12,400, which is consistent throughout.

❖ Criticisms I withdraw

I raised these before obtaining the documents, working only from a chat summary. Reading the actual report shows it handles all three correctly. Recording them as withdrawn rather than quietly dropping them.

– "It applies 12 months of rent to a property placed in service in August"

It does not. Page 4 states plainly that the full-year tables are a stabilized planning view and not a claim about 2026, and directs the reader to use actual 2026 rent and expenses. The labelling is correct.

– "It uses full-year depreciation on a mid-month asset"

It presents both. Page 4 gives \$8,727 full-year and \$3,274 for August 2026, cites the 1.364% first-year percentage, and warns the percentage changes with the month. The near-coincidence with the \$3,233 profit figure is exactly that — a coincidence; both numbers are independently correct.

– "It confuses the standard deduction with rental interest"

The opposite. Page 3 explains that Schedule E rental expenses are above-the-line and that he "does not need to itemize personal deductions merely to deduct legitimate rental expenses." That is right, and it is the distinction I accused it of missing.

❖ What survives — and what only the documents reveal

1 The \$2,000 draft contradicts the \$2,800 property tax, and nobody resolved it

The draft implies \$7,571 /year of escrow. Against a stated \$2,800 property tax that leaves \$4,771 for insurance — implausible for a \$300,000 rental. Read the other way, a normal \$1,800 premium implies property tax near \$5,771, or 1.92% of price, squarely in the Texas range. A newly purchased rental also loses any homestead cap and exemption the prior owner held, so a reassessment to roughly that level is exactly what you would expect. The report identified the right question and stopped one step short of the answer.

2 Resolving it reverses the report's headline conclusion

The executive verdict states the property produces "a small taxable profit, not a tax loss." With the escrow-implied tax and an ordinary insurance premium, the same model yields a \$1,539 loss — and the "\$711 of additional federal tax" becomes roughly \$339 of tax *reduction*. That is a swing of about \$1,050 on the report's own structure, using only its own disclosed evidence.

3 The recast column understates by \$91,331 because it assumes you never overpay

Page 7 shows recast with \$242,448 of lifetime interest against \$151,117 for keeping the payment — making recast look like it saves \$40,408 versus \$131,738. But recasting does not oblige you to pay the lower amount. Recast, then voluntarily keep paying \$1,369.04, and lifetime interest is \$151,117 — identical — while you retain the right to drop to \$1,173.47. The table's structure biases the verdict against the option that is actually better, and the verdict duly recommends against it.

4 A pre-tax retirement contribution is never compared

Page 5's own footnote says the tax illustration "excludes 401(k), HSA" — acknowledging the vehicle exists, then never testing it. At a 22% marginal rate, \$30,000 of unused pre-tax room is worth about \$6,600 immediately against a 5.30% hurdle. It is not close, and it belongs in the option set.

5 "Substantial reserves" is asserted, and it is doing real work

Page 8 concludes "liquidity is less of a constraint in the fact pattern provided" — but no reserve figure appears anywhere in ten pages. Page 9 then lists weakened reserves as something that would change the verdict. So an unmeasured input is load-bearing. Combined with H-1B status, where authorization is employment-contingent with a short grace period, and a first rental year carrying vacancy and turnover risk at once, this deserved a number rather than an adjective.

6 Active participation is treated as near-certain when the facts strain it

Page 6 correctly notes a property manager does not automatically defeat active participation. True — but the owner is in Nevada, the property is in Texas, and management is outsourced at \$3,800/year. That is the fact pattern where substantiation is hardest. It matters more than the report suggests: if active participation fails, the loss suspends entirely, the interest deduction has no current value, and the after-tax cost of the mortgage rises from 5.30% to the full 6.80% — which makes prepayment *more* attractive, not less. The conclusion survives; the stated reason for it does not.

7 The nominal figure leads, and the discounted one never appears

Partial credit: page 8 does carry the 5.30% opportunity-cost check, which is the right frame. But pages 1 and 9 both headline \$131,738. Discounted at the loan's own rate the present value of prepaying is **exactly zero** — the present value of a loan's remaining payments *is* its balance, so retiring \$30,000 of balance buys \$30,000 of value. Leading with an undiscounted 20-year sum makes a sound-but-ordinary 5.30% return look like a windfall, and crowds out the liquidity and retirement questions that should outrank it.

8 Two different savings figures were published

The chat gave \$131,072, then \$131,738. The PDF is right at \$131,738.50; the earlier number was never retracted. Small in dollars, but an unexplained change to the headline figure.

9 Depreciation recapture is described but never priced

Pages 4 and 10 explain unrecaptured \$1250 gain and the 25% ceiling correctly. Neither the report nor the app ever subtracts it, so depreciation still reads as a pure benefit rather than a deferral with a quantifiable cost at exit.

10 The interactive app cannot test the sensitivity both documents rely on

It exposes eleven inputs — price, down payment, rate, term, extra principal, rent, property tax, management, HOA, building share, tax rate — and no field for insurance, repairs or vacancy. Both documents state that unlisted expenses above \$3,233 flip profit to loss, and that landlord insurance alone may do it. The tool provided to test that claim structurally cannot.

11 Smaller items

Page 6 says he is "near the full-allowance range" at \$95,000 — he is below \$100,000 and squarely inside it, so the hedge is unnecessary. §199A is never mentioned, though a rental rising to a trade or business may support a deduction against any profit. The app applies the curtailment at month 1 while the PDF applies it at month 0, a \$0.17 /month divergence in the recast payment — immaterial, but the two artefacts do not agree.

The two documents against each other

CAPABILITY	10-PAGE PDF	11-INPUT APP	THIS REBUILD
Escrow / \$2,000 draft reconciled	flagged, unresolved	not modelled	resolved
Insurance, repairs, vacancy as inputs	named, not quantified	no input field	yes
First partial year on Schedule E	narrated	not computed	computed
Recast-then-overpay (C1)	absent	absent	modelled
Pre-tax retirement alternative	absent	absent	modelled
Present-value discounting	absent	absent	yes
\$469 allowance, phaseout, suspension	explained	not computed	computed
Active-participation failure case	mentioned	absent	modelled
\$1250 recapture	explained	absent	priced
Liquidity / reserves	asserted	absent	stress-tested
Curtailment applied at	month 0	month 1	either
Statutory citations	10-page source list	none	defers to the PDF

Loan mechanics

LOAN AMOUNT

\$210,000

\$90,000 down (30%)

CONTRACTUAL P&I

\$1,369

principal + interest only

INTEREST, FIRST 12 MONTHS

\$14,212

Schedule E deductible

AFTER-TAX COST OF DEBT

5.30%

deduction fully usable at 22.00%

Schedule E — first partial year and stabilized year

The report gave only the stabilized column. Both are shown so the 2026 return and the planning view are never confused.

LINE	2026 (PARTIAL)	STABILIZED	REPORT AS WRITTEN
Gross rent 5 months vs 12	\$14,000	\$33,600	\$33,600
Vacancy / turnover reduces collected rent	\$0	\$0	not modelled
Mortgage interest	-\$5,922	-\$14,212	(\$14,212)
Property tax contradicted by the draft	-\$2,405	-\$5,772	(\$2,800)
Management	-\$1,583	-\$3,800	(\$3,800)
HOA	-\$345	-\$828	(\$828)
Landlord insurance never provided	-\$750	-\$1,800	not modelled
Repairs / maintenance never provided	\$0	\$0	not modelled
Depreciation A-6 month 8 = 1.364%	-\$3,274	-\$8,727	(\$8,727)
Net rental income / (loss)	-\$278	-\$1,539	\$3,233

Stabilized loss of \$1,539 — federal tax effect -\$339

This **reverses the report's headline**, which stated a small taxable profit and +\$711 of tax. The swing is about \$1,050. MAGI \$95,000, no phaseout; allowance \$25,000; deductible now **\$1,539**; suspended and carried forward **\$0**.

2026 is 5 months

Rent \$14,000 and depreciation \$3,274 at the 1.364% first-year percentage. The report gave only the stabilized column, correctly labelled — this adds the column the 2026 return actually needs.

Six options — including the three the report never modelled

OPTION	REQUIRED P&I	PAYOFF	LIFETIME INTEREST	PV VS A	EFFECTIVE RETURN	ASSESSMENT
A · Do nothing hold the cash	\$1,369	30y 0m	\$282,855	—	0.00% cash	baseline
B · Curtail, keep paying report's recommendation	\$1,369	20y 2m	\$151,117	\$0	5.30% guaranteed	no fallback
C1 · Recast, then overpay never modelled	\$1,173	20y 2m	\$151,117	-\$350	5.30% + free option	B plus flexibility for \$350
C2 · Recast, pay the minimum the report's recast column	\$1,173	30y 0m	\$242,448	-\$350	5.30% cash-flow first	only if cash flow binds
D · Pre-tax retirement never modelled	\$1,369	30y 0m	\$282,855	\$6,600	22.00% year 1	highest yr-1 return
E · Taxable investing never modelled	\$1,369	30y 0m	\$282,855	\$12,158	5.95% at risk	higher, not guaranteed

The report compared B against C2 and never against C1

Its recast row shows \$242,448 of lifetime interest — \$91,331 more than B — because it assumes the lower payment is all you ever pay. C1 recasts and then voluntarily pays \$1,369: lifetime interest \$151,117, identical to B, while the *required* payment stays \$1,173. Omitting C1 is what produced the recommendation against recasting.

Nominal versus present value

B cuts nominal interest by \$131,738 — the report's headline. Its present value at 6.80% is \$0. That zero is exact, not rounding: the present value of a loan's remaining payments *is* its balance, so retiring \$30,000 of balance buys exactly \$30,000 of present value.

Read the effective-return column

PV is measured against baseline A holding cash at 0%, which flatters D and E. Effective return is baseline-free: 5.30% guaranteed from prepaying, 5.95% expected but at risk from investing, 22.00% immediate from pre-tax deferral.

C1 versus B — the correction to the verdict

	B · CURTAIL, NO RECAST (RECOMMENDED)	C1 · RECAST, THEN OVERPAY
Required monthly payment	\$1,369	\$1,173
If you choose to overpay	\$1,369	\$1,369
Payoff when overpaying	20y 2m	20y 2m
Lifetime interest when overpaying	\$151,117	\$151,117
Can reduce payment if a tenant leaves	No — \$1,369 stays due	Yes — down to \$1,173
Monthly relief available	\$0	\$196
Cost	\$0	\$350 recast fee
Servicer approval	Not needed	Required — confirm first

Recast, then voluntarily keep paying the original amount

Identical payoff and identical lifetime interest, plus the right to drop the required payment whenever a tenant leaves or employment changes. The only cost is the recast fee. The report compared B against recast-and-pay-less (C2) and never against recast-and-overpay (C1) — which is why it reached the wrong ordering.

Liquidity stress test

Supplying the number the report relied on without stating.

RESERVES AFTER PAYING

\$30,000

liquid and accessible

MONTHS OF RUNWAY

4.6 mo

living + full housing cost

COVERS VISA GRACE PERIOD?

yes

H-1B termination
scenario

VACANCY + CAPEX BUFFER

\$0

hold on top of personal
reserves

Reserves fall to 4.6 months — below a prudent floor

The report concluded "liquidity is less of a constraint" without ever stating a reserve figure. On this one it is the binding constraint: prepayment is NPV-neutral, so you would trade liquidity needed during a first-year vacancy or a 60-day grace period for a 5.30% return you can simply earn later.

Verdict

Recomputed from your inputs. It agrees with the report's direction and disagrees with its execution.

1. The report is arithmetically sound. Its error is the option set.

All 14 headline figures reproduce — several to the cent — and it gets the Schedule E, depreciation, \$469, \$1250, at-risk and residency rules right. But it compared curtail-and-keep-paying against recast-and-pay-less, and never against **recast-and-then-overpay**, which delivers identical lifetime interest of \$151,117 while leaving the required payment at \$1,173. Omitting that one column is what produced a recommendation against recasting. On your inputs: **Do not send the money yet** — liquidity binds before tax efficiency matters.

2. Ask for the escrow breakdown before anything else

Your entries already carry the corrected property tax, so they reconcile with the \$2,000 draft to within \$1/year and the figures below reflect the corrected position. The finding still stands against the report as written, whose \$2,800 input leaves \$4,771 unexplained — so get the statement and confirm which figure is real before relying on either.

3. \$131,738 is the right number framed the wrong way

It is undiscounted interest over 20y 2m. At 6.80% the present value is \$0, exactly zero, because a loan discounted at its own rate is worth its balance. The genuine return is 5.30%, guaranteed — a good reason to prepay, and the report's own page 8 says so. Leading with the 20-year sum is what lets liquidity and retirement space get crowded out.

4. Two options were never on the table

\$30,000 of unused pre-tax room is worth about \$6,600 immediately at 22.00% — a first-year return no 6.80% mortgage can match. Fill it first. Taxable investing at 5.95% net does exceed the 5.30% guaranteed return, but not by enough to justify the risk given a first rental year and visa-linked employment.

5. Two conditions the verdict silently rests on

Reserves: never stated in ten pages, yet page 8 leans on them and page 9 lists them as decisive. Yours give 4.6 months after paying, which is not. **Active participation:** an out-of-state owner paying \$3,800 for management is the hardest case to substantiate. If it fails, the loss suspends, the deduction has no current value, and the after-tax cost of the mortgage rises to 6.80% — strengthening the case for prepaying, but for a different reason than the report gives.

6. Depreciation is a deferral, not a gift

At \$8,727/year, a 10-year hold accumulates roughly \$87,273 of depreciation carrying about \$21,818 of unrecaptured §1250 exposure at 25%. Both prior documents explain the rule and neither subtracts it. It does not change the \$30,000 decision; it does change what the property is worth after tax on exit.

7. Where it lands: Do not send the money yet

Rebuild reserves to six months first. Prepayment is NPV-neutral and the 5.30% return will still be there next quarter; the liquidity will not be if a tenant leaves or employment ends. Confirm in writing that recast is permitted and that the lump sum is applied to principal rather than escrow. A planning conclusion from your assumptions, not advice — the amber inputs remain unverified.

What you are still missing

ITEM	WHY IT CHANGES THE ANSWER
Escrow breakdown of the \$2,000 draft	Ask first. It resolves property tax and insurance in one document, and on the arithmetic above it likely reverses profit to loss.
Current-year property tax statement	A rental loses the homestead cap and exemption. The \$2,800 figure may predate reassessment at the \$300,000 purchase price.
Landlord insurance quote	Named by both documents as capable of flipping the result, and absent from both.
Land / building allocation	80/20 is called illustrative in the report. It sets depreciation and the recapture liability; use the assessor ratio or an appraisal.
Recast terms in writing	Fee, minimum curtailment, seasoning, investor approval, no prepayment penalty, and that the lump sum hits principal rather than escrow.
Unused pre-tax retirement room	Probably the highest-return use of the money, and absent from both documents.
Liquid reserve balance	The report's conclusion rests on it. It is never stated.
Active-participation evidence	Out-of-state owner with outsourced management. If it fails, the loss suspends and the economics shift.
Substantial Presence Test result	The report assumes resident-alien treatment. Confirm it.
Any personal use of the property	Triggers allocation rules and affects the §121 timeline.
Other debt above 6.8% after tax	Would outrank the mortgage entirely. Never established in either document.

Not tax, legal or investment advice. A deterministic planning model that reproduces the prior documents' arithmetic and exposes the assumptions behind it. Bracket thresholds and the standard deduction are editable and must be verified against the current IRS release. Depreciation basis, residency status, active participation, recast eligibility and prepayment terms require confirmation from a CPA and the loan servicer before any money moves. Prior documents audited: [one_property_rental_mortgage_tax_verdict.pdf](#) (10 pages) and [One Property Mortgage & Tax Planner.html](#) .